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To: pastj@live.com

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Buying a new ETF

The New Value Investing

COMPOUNDING QUALITY

SEP 24



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Next Tuesday, I am giving an exclusive webinar.

I will go over my personal portfolio. I'll show you where I invest ALL my money.

On top of that, you will receive some amazing gifts only available during the webinar.

Save your seat here. It's free.

Stock prices always follow the evolution of the intrinsic value.

We want to buy companies that are:

1. High quality
2. Very profitable
3. Trading at an attractive valuation

Let's dive into Our ETF Portfolio today and add to our portfolio.



You don't want to miss this

Are you ready for next Tuesday?

You'll receive all these things for free:

WEBINAR-ONLY BONUS, if You Join in the next 24 hours:

 1. Exclusive report from Tiny Titans (regular price: \$1.500)

 2. Our 3 Favorite dividend stocks (regular price: \$499/year)

 3. A PDF with all (!) our investment cases 555 (!) pages (value: \$999)

 4. Exclusive course: How to find 100-baggers (regular price: \$1.999)

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On top of that, you'll learn in which 20 stocks I invest ALL my money.

I am also giving away FREE paid subscriptions to Compounding Quality.

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PROVEN GROWTH STRATEGIES | LIVE PORTFOLIO REVEAL | EXCLUSIVE PRIZES TO WIN

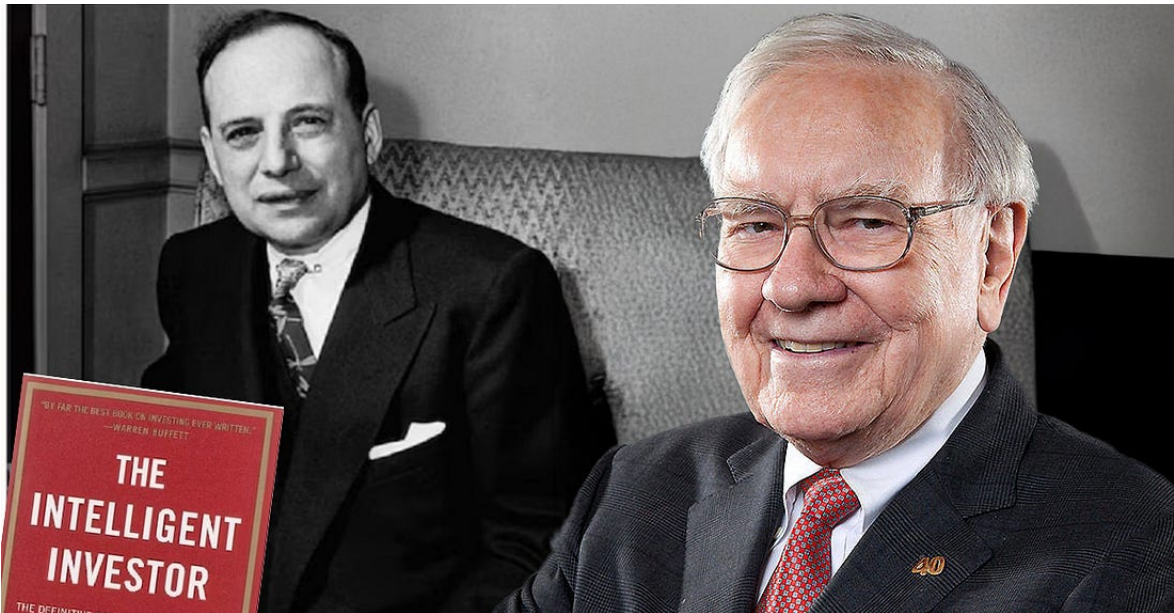
 **LIMITED SEATS – SECURE YOUR FREE SPOT NOW** | 

Value Investing 101

Warren Buffett's mentor? **Ben Graham**.

Ben Graham is the **father of value investing**.

His investment philosophy was so simple: **You want to buy a dollar for 50 cents.**



In the 1950s, investors often used a company's **Price-to-Book (P/B) ratio** to find very cheap companies.

The book value told you what a company's physical assets were worth.

Think about things like:

- Factories
- Railcars
- Inventory
- Warehouses

WHAT IS BOOK VALUE?

The accounting net worth of a company

Accounting 101

ASSETS		LIABILITIES
 Cash	—	 Loans
 Inventory		 Payables
 Property		BOOK VALUE / EQUITY  What belongs to shareholders
 Equipment		

BOOK VALUE = TOTAL ASSETS – TOTAL LIABILITIES

Also written as: **BOOK VALUE = SHAREHOLDERS' EQUITY**

Book Value Per Share	Price-to-Book (P/B)
$\text{Shareholders' Equity} \div \text{Shares Outstanding}$	$\text{Share Price} \div \text{Book Value Per Share}$

- What it means:** If the company sold every asset and paid every debt, book value is what would be left for owners.
- The limitation:** Book value is an accounting number. Brands, culture, and earning power often do not show up fully on the balance sheet.
- Quality insight:** Great compounders are often asset-light. They can trade far above book value because their real value is future cash earnings, not factories.

Educational visual • Not investment advice



Imagine buying a company at a **P/B ratio of 1x**.

In theory, the value of all assets would be equal to the current value of the entire company.

And you would own the operating business for **free**.

Every dollar of profit it generated would be yours.

That was the idea behind **traditional value investing**.

Does traditional value investing still work?

Today, the most profitable companies in the world don't own a lot of physical assets.

Nvidia is the most valuable company in the world (\$5.5 trillion).



Source: CEO Today

Yet it doesn't own a single factory.

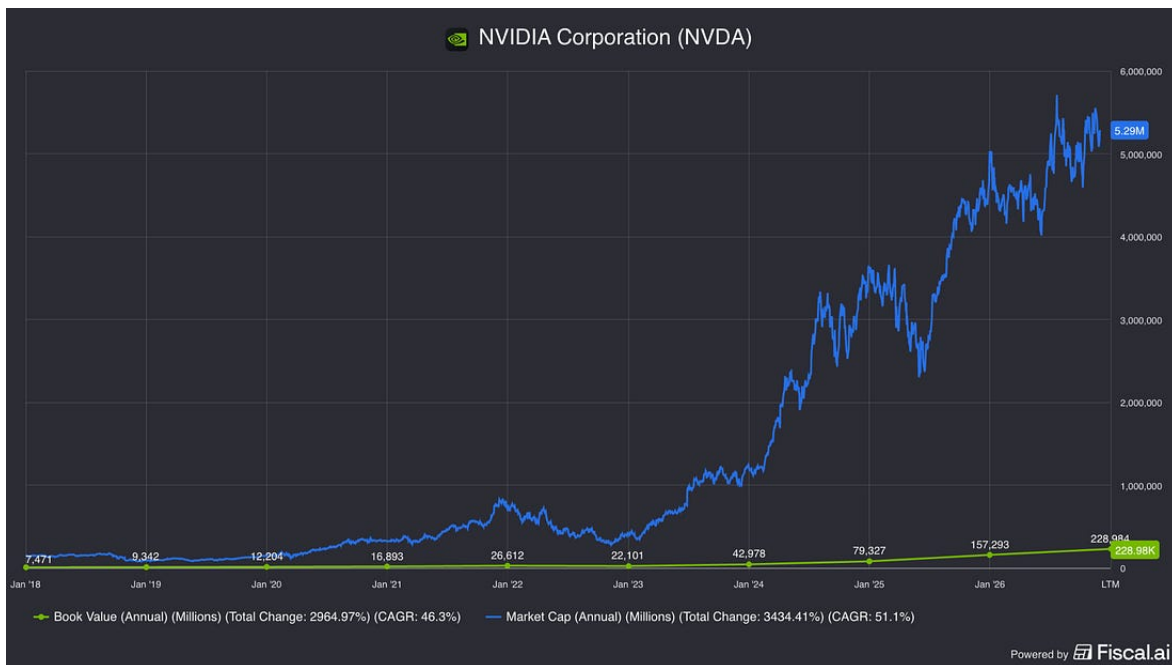
It **designs chips** and **pays partners like TSMC to manufacture them.**

So what physical assets actually sit on Nvidia's balance sheet?

- Their corporate headquarters in California
- Internal supercomputers used for R&D
- Inventory and lab equipment

That's it.

Here's Nvidia's **Book Value** compared to its **Market Cap**:



Source: [Fiscal.ai](https://fiscal.ai)

If you buy Nvidia, you clearly aren't buying physical assets.

The P/B equals 23.9x.

You are buying **intangible assets**.

Think about their proprietary chip designs, their software ecosystem, and their engineering talent.

These assets help the company earn billions in profits.

But traditional accounting rules don't always capture their value very well.

That creates a problem for traditional Value ETFs.

They can end up favoring businesses with lots of physical assets, while overlooking asset-light companies with strong growth.

That's why traditional value ETFs have been underperforming growth ETFs.



Source: [Fiscal.ai](https://fiscal.ai)

So the question is... Should we redefine the term 'value'?

The Modern Margin of Safety

How do you measure the value of a business today?

Warren Buffett gave us a simple answer in Berkshire Hathaway's Owner's Manual:

"Intrinsic value can be defined simply: it is the discounted value of the cash that can be taken out of a business during its remaining life."



Think about that for a moment.

If you owned a business, what would you care about the most?

The factories?

The warehouses?

Or the cash the business can generate for you?

The answer is cash.

And that's exactly what we should focus on as shareholders.

Free Cash Flow (FCF)

Free Cash Flow is **the cash a business has left after paying for the investments needed to keep it running and growing.**

It's the money that Warren Buffett was talking about.

FREE CASH FLOW

IS NOT THE SAME AS NET INCOME

BY COMPOUNDING QUALITY



Free Cash Flow vs. Net Income

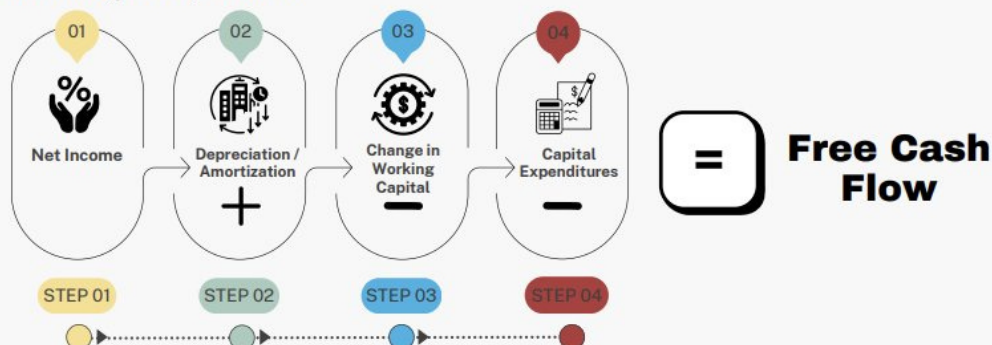
- Earnings are an opinion, Cash Flow is a fact
- That's why you should always look at the Free Cash Flow of a company and not at its Earnings
- While Earnings are an accounting metric, Free Cash Flow looks at the money that actually entered and left the firm over a certain period
- The Net Income of a company contains a lot of non-cash items whereas Free Cash Flow looks at the cash that effectively entered and exited the business

Net Income =
Total Revenue - Total Expenses

VS

Free Cash Flow =
Operating Cash Flow - CAPEX

To go from Net Income to Free Cash Flow, you should make the following adaptations:



- Free Cash Flow can be seen as a better metric compared to the Earnings of a company because this metric is more reliable and harder to manipulate
- Seek for companies which translate at least 90% of the Earnings into Free Cash Flow



Source: Compounding Quality on X

And unlike Book Value, **Free Cash Flow works for both asset-heavy and asset-light companies.**

It doesn't matter whether a company owns warehouses or algorithms.

What matters is:

1. How much cash does it generate today?
2. How much cash can it generate in the future?

That's why we can replace Ben Graham's Book Value with Free Cash Flow.

Here's the simple formula:

$$\text{FCF per Share} \div \text{Stock Price} = \text{FCF Yield}$$

The higher the FCF Yield, the more cash flow you're getting for every dollar you invest.

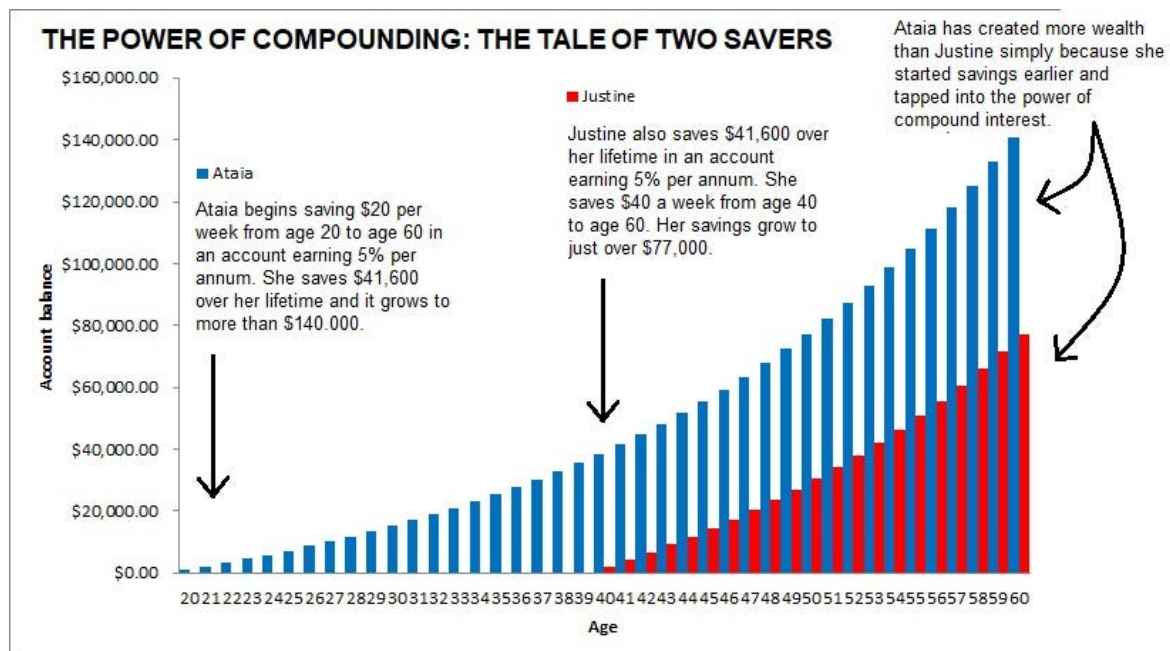
This is a useful way to think like a private business owner.

But there's one more thing to remember.

Buffett's definition includes the cash a business can generate **during its remaining life.**

That means a business that lasts longer and grows more is worth more than one that generates the same amount of cash today but won't grow or be around as long.

After all, time is the most powerful force in compounding.



Source: Sprout Education

So we need to look beyond today's cash flow.

We also need to ask:

Will this business still be generating cash 10, 20, or 30 years from now?

To find out, we can look for two things:

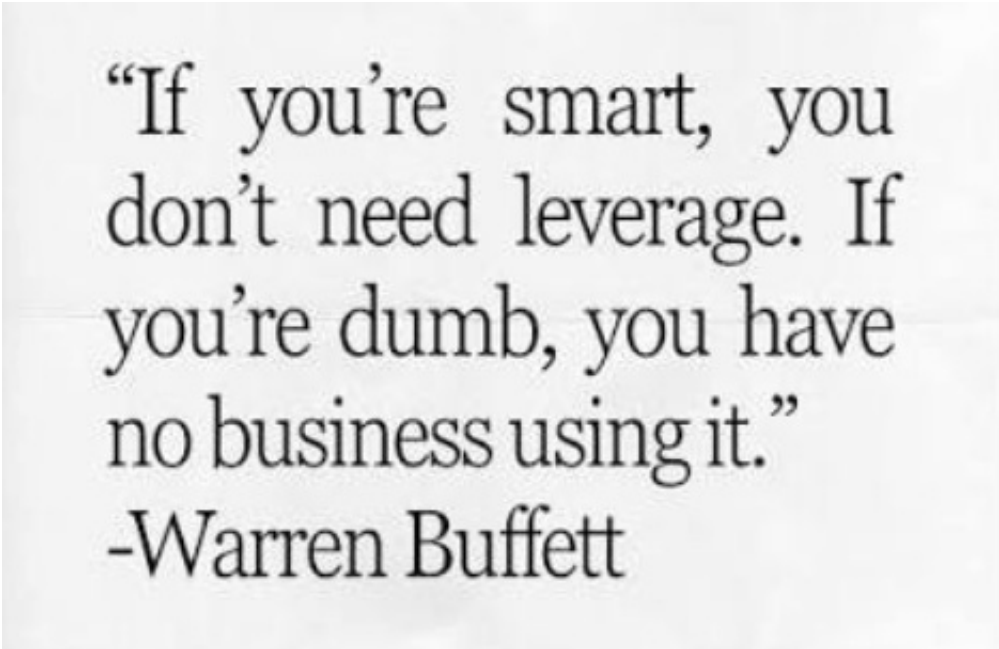
1. Low debt

2. Stable profits

1. Low Debt

Too much debt can wipe out shareholders.

A business with manageable debt has more room to survive tough times and keep returning cash to investors.

A quote by Warren Buffett about leverage, displayed in a serif font on a light gray background. The text is centered and reads: "If you're smart, you don't need leverage. If you're dumb, you have no business using it." followed by "-Warren Buffett".

“If you’re smart, you don’t need leverage. If you’re dumb, you have no business using it.”
-Warren Buffett

2. Stable Profits

We want businesses that **consistently generate cash.**

Not companies whose profits collapse every few years.

Predictable cash flow makes it easier to estimate what a business is worth.

Here’s two charts of Net Income?

Chart 1:



Source: Fiscal.ai

Chart 2:



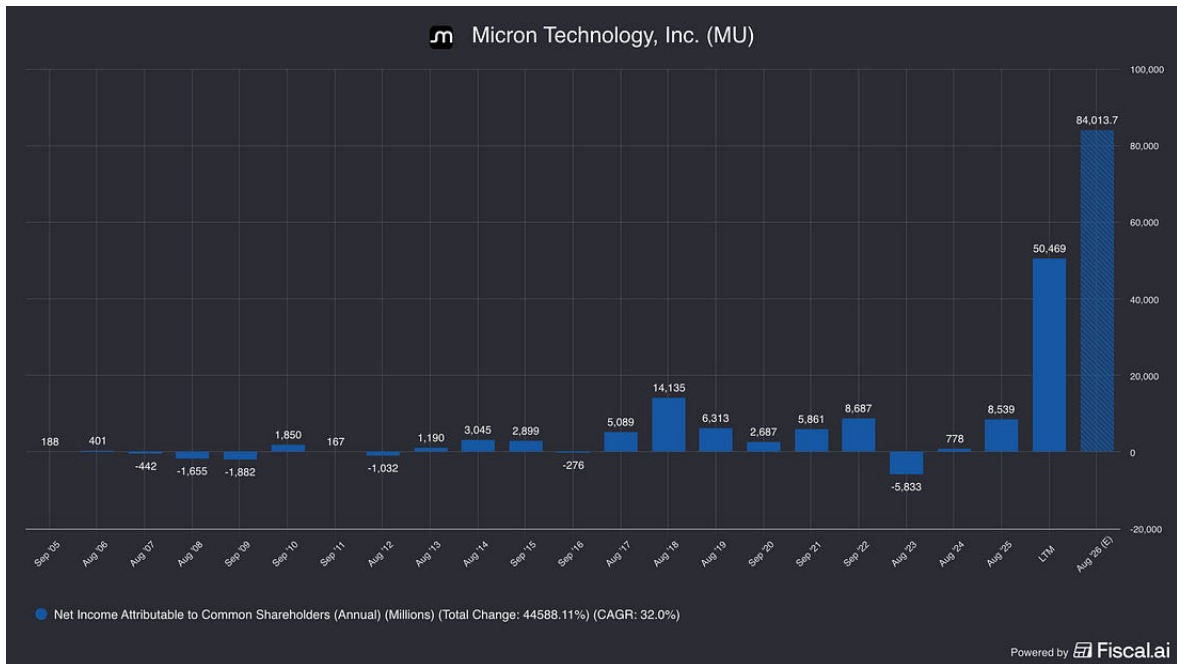
Source: [Fiscal.ai](#)

The first one of course!

By the way, **chart #1 is Medpace**, and **chart #2 is Micron**.

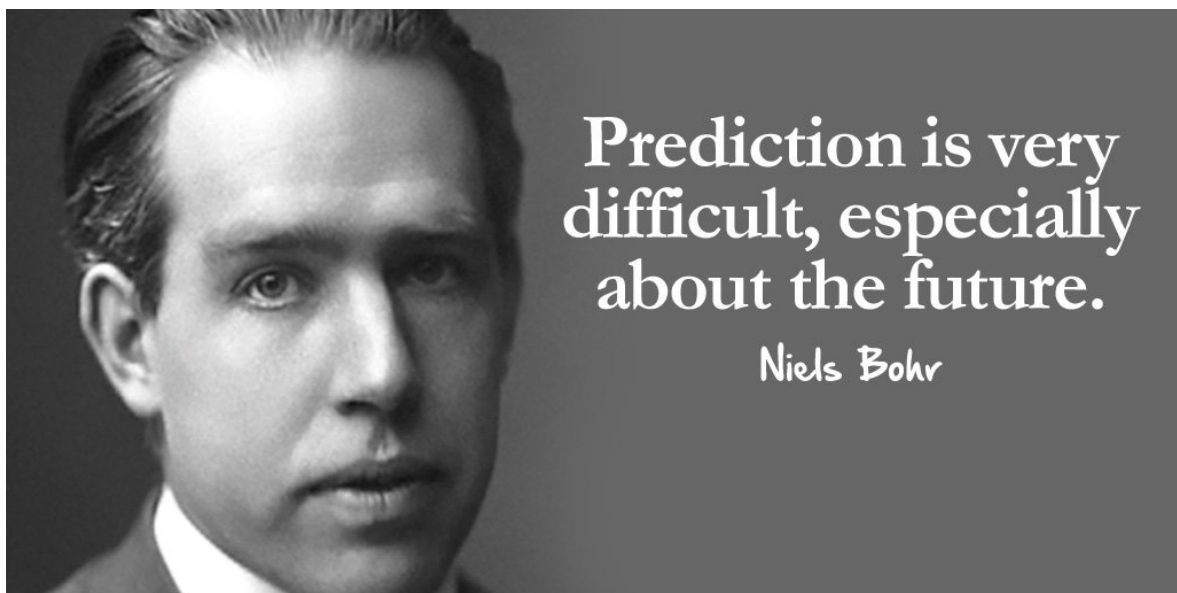
Based on Micron's chart...

Would you have guessed that the next few bars would look like this?



Probably not.

Predicting a cyclical company is way harder than a steady one.



Modern Value Investing

So now you know how you can **identify attractive companies** in today's market:

High Free Cash Flow Yield + Low Debt + Stable Cash Flows

The beauty of this?

It works whether the business owns factories or software.

Wouldn't it be interesting to buy an ETF that captures exactly these characteristics?

The good news is that you can!

★ ETF of the Month (Spotlight)

Distillate U.S. Fundamental Stability & Value ETF (DSTL)

Key Information

- **Name:** Distillate U.S. Fundamental Stability & Value ETF
- **Ticker:** DSTL
- **Total Expense Ratio:** 0.39%

- **Physical/Synthetic ETF:** Physical
- **ISIN:** US26922A3216

What?

The ETF focuses on the **500 largest listed companies in the US**.

First, it requires that a company has **basic profitability, historical cash flow, and liquidity**.

Then, the managers use a three-step filter:

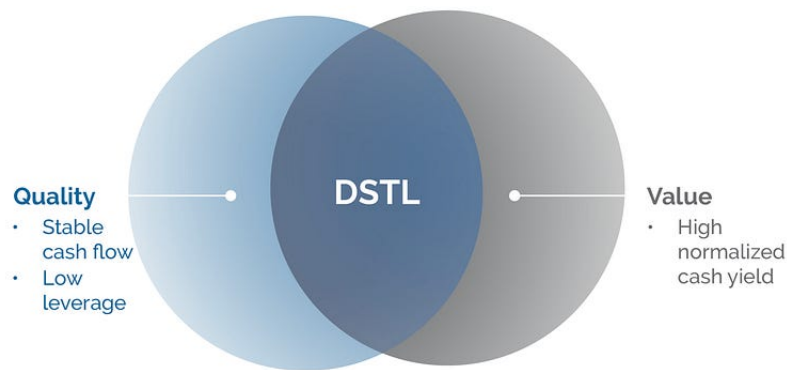
- **Healthy balance sheet:** It removes companies with too much leverage, using a proprietary debt-to-income calculation.
- **Fundamental Stability:** It removes companies with volatile historical and projected cash flows.
- **Valuation:** It buys the 100 most undervalued remaining companies based on their Free Cash Flow Yield.

This is an **actively managed ETF** and the managers evaluate the portfolio at least every quarter.

Why?

Requiring **stable cash flows and low leverage** helps the ETF buy **good companies**.

Using **Free Cash Flow as the valuation** measure lets it buy **modern, asset light companies** at good prices.



Distillate U.S. Fundamental Stability & Value ETF | DSTL

This combination has let it perform better than traditional value ETFs.



Source: [Fiscal.ai](https://fiscal.ai)

Because DSTL is actively managed, it also has a **strict sell discipline**.

The managers will sell a stock if:

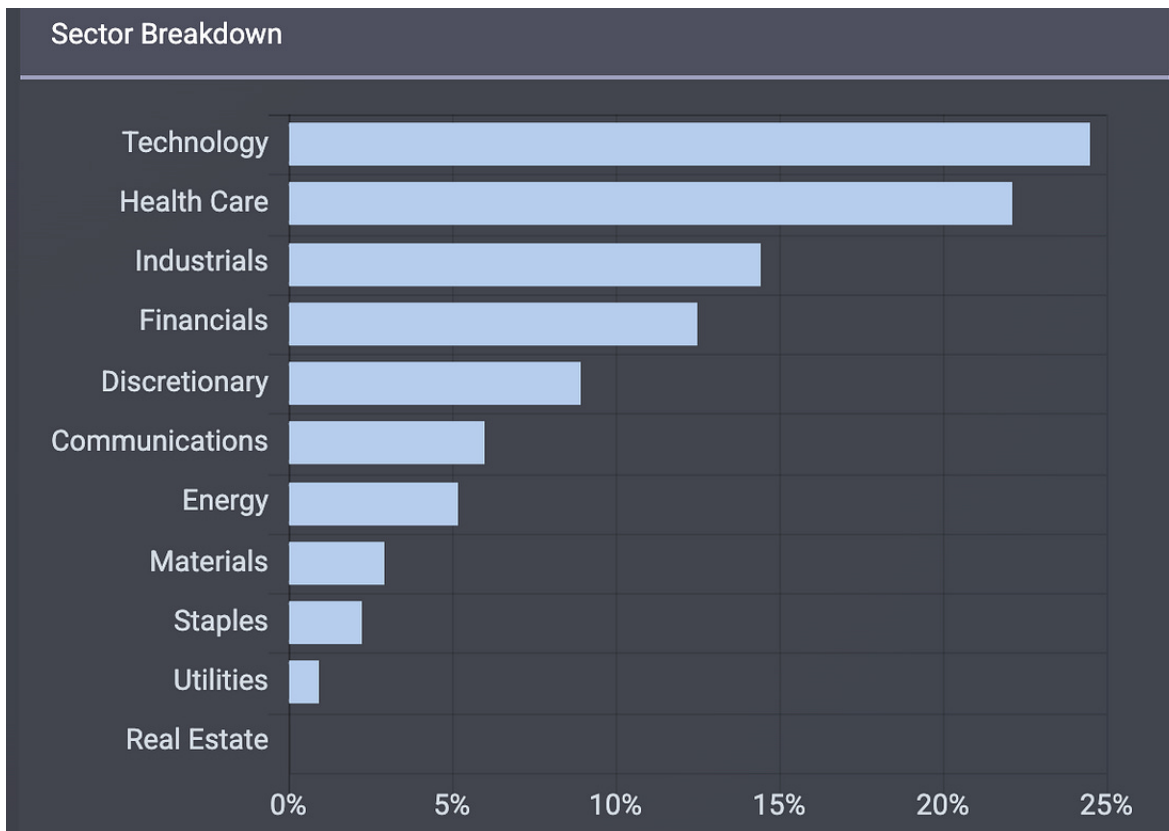
- It becomes overvalued.
- The company takes on too much debt.
- The company's cash flows become unstable.

By focusing on normalized free cash flow and monitoring balance sheet strength, DSTL systematically avoids value traps.

You get a high-quality portfolio of profitable companies trading at a discount.

Sector Split

The sector breakdown looks like this:



The three largest sectors are **Technology**, **Health Care**, and **Industrials**.

Top Holdings

The top 10 positions right now:

Top 10 Holdings	<i>Complete list</i> 
SALESFORCE.COM INC	3.2 %
MERCK & CO. INC.	2.6 %
ACCENTURE PLC-CL A	2.3 %
MARATHON PETROLEUM	2.0 %
COMCAST CORP-CL A	2.0 %
ABBVIE INC	1.8 %
UBER TECHNOLOGIES, INC.	1.6 %
ADOBE SYSTEMS INC	1.5 %
ALTRIA GROUP INC	1.4 %
AUTOMATIC DATA PROCESSING	1.4 %

ETF Portfolio Update: September 2026

Now, let's dive into our ETF Portfolio Update.

Our Portfolio is a great mix of ETFs that we believe can outperform over the long run.

We use several factors that have historically performed well:



Quality: Only invest in companies that have already won



Size: The smaller the better



Multifactor: Quality, size, value & momentum



Emerging Markets: Small exposure to Emerging Markets

The ETF Portfolio is only available for Partners of Compounding Quality.

But I might have something better for you...

Giving away \$10.000 in cash prices

This Tuesday, I am giving away \$10.000 in cash prices.

How? **During my live masterclass investing.**

I'll show you in which stocks I personally invest my money.

You don't want to miss this.

[You can register for the Masterclass here \(it's free\):](#)

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Everything in life compounds

Pieter (Compounding Quality)

Book

- Order your copy of The Art of Quality Investing [here](#)

Used sources

- [Interactive Brokers](#): Portfolio data and executing all transactions
- [Fiscal](#): Financial data

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The best investment you can make is always one in yourself. Ready to invest in yourself? You won't regret it.

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